

Temporary notes outstanding at June 30, 2025, are payable as follows:

<u>Type</u>	<u>Interest Rate</u>	<u>Maturity Date</u>	<u>Beginning Balance</u>	<u>Additions</u>	<u>Retirements</u>	<u>Ending Balance</u>
BAN	5.00%	matured	\$ 3,500,000	\$ -	\$ (3,500,000)	\$ -
BAN	4.75%	matured	5,000,000	-	(5,000,000)	-
BAN	4.00%	11/13/25	-	13,500,000	(11,125,000)	2,375,000
Total Governmental Notes			8,500,000	13,500,000	(19,625,000)	2,375,000
BAN	5.00%	matured	5,941,364	-	(5,941,364)	-
BAN	4.75%	matured	4,290,758	-	(4,290,758)	-
MCWT	0.00%	matured	19,232,110	857,125	(20,089,235)	-
MCWT	0.00%	matured	12,431,569	6,586,958	(19,018,527)	-
MCWT	0.00%	12/31/26	-	4,463,637	-	4,463,637
Total Business-Type Notes			41,895,801	11,907,720	(49,339,884)	4,463,637
Total Notes Payable			<u>\$ 50,395,801</u>	<u>\$ 25,407,720</u>	<u>\$ (68,964,884)</u>	<u>\$ 6,838,637</u>

On November 12, 2025, the Town issued general obligation bonds totaling \$11,125,000 paying interest at 4.0-5.0% per annum and maturing at various dates through November 1, 2045. The proceeds of the bonds, along with \$1,450,000 of available Town funds were used to redeem \$13,500,000 of BAN's maturing on November 13, 2025. The general obligation bonds totaling \$11,125,000 are reported as bond proceeds in these financial statements.

On March 16, 2026, the Town issued general obligation bond anticipation notes totaling \$7,209,898 paying interest at 3.5% per annum and maturing on March 16, 2027. The proceeds will be used for construction costs of Shaker Lane Elementary School.

F. Long-Term Obligations and Debt

The Town issues general obligation bonds and notes to provide funds for the acquisition and construction of major capital facilities. General obligation bonds and notes have been issued for both governmental and business-type activities. Additionally, the Town incurs various other long-term obligations relative to associated personnel costs.

State law permits the Town, under the provisions of Chapter 44, Section 10, to authorize indebtedness up to a limit of 5.0 percent of its equalized valuation. Debt issued in accordance with this section of the law is designated as being "inside the debt limit." In addition, the Town may authorize debt in excess of that limit for specific purposes. Such debt, when issued, is designated as being "outside the debt limit".

The following reflects the current year activity in the long-term liability accounts:

	Beginning Balance	Additions	Deletions	Ending Balance	Due within one year
<i>Governmental Activities:</i>					
General obligation bonds	\$ 15,570,000	\$ 13,791,000	\$ (1,961,000)	\$ 27,400,000	\$ 2,012,000
Unamortized bond premiums	1,550,832	177,000	(168,322)	1,559,510	180,897
Notes from direct borrowings and placements	732,796	-	(120,407)	612,389	120,695
Compensated absences, net (a)	1,293,522	40,006	-	1,333,528	333,382
Net other postemployment benefits liability	7,403,092	17,053,336	(8,679,451)	15,776,977	-
Net pension liability	13,868,010	5,200,746	(6,143,925)	12,924,831	-
Total Governmental Activities	<u>\$ 40,418,252</u>	<u>\$ 36,262,088</u>	<u>\$ (17,073,105)</u>	<u>\$ 59,607,235</u>	<u>\$2,646,974</u>
<i>Business-type Activities: Water:</i>					
Bonds payable	\$ 5,425,000	\$ 5,428,000	\$ (419,000)	\$ 10,434,000	\$ 692,000
Unamortized bond premiums	160,156	357,883	(22,509)	495,530	76,017
Notes from direct borrowings and placements	574,378	15,182,248	(688,186)	15,068,440	538,067
Compensated absences, net	66,278	-	(724)	65,554	16,389
Net other postemployment benefits liability	402,989	515,691	(561,344)	357,336	-
Net pension liability	2,642,957	540,383	(720,134)	2,463,206	-
Total Water	<u>9,271,758</u>	<u>22,024,205</u>	<u>(2,411,897)</u>	<u>28,884,066</u>	<u>1,322,473</u>
<i>Business-type Activities: Sewer:</i>					
Bonds payable	1,285,000	3,871,000	(75,000)	5,081,000	266,000
Unamortized bond premiums	59,423	253,337	(3,193)	309,567	40,840
Notes from direct borrowings and placements	-	26,494,200	-	26,494,200	883,140
Total Sewer	<u>1,344,423</u>	<u>30,618,537</u>	<u>(78,193)</u>	<u>31,884,767</u>	<u>1,189,980</u>
<i>Business-type Activities: Electric Light:</i>					
Compensated absences, net	250,859	462,001	-	712,860	66,543
Net other postemployment benefits liability	2,389,022	157,658	-	2,546,680	-
Net pension liability	9,382,350	-	(638,105)	8,744,245	-
Total Electric Light	<u>12,022,231</u>	<u>619,659</u>	<u>(638,105)</u>	<u>12,003,785</u>	<u>66,543</u>
Total Business-type Activities	<u>\$ 22,638,412</u>	<u>\$ 53,262,401</u>	<u>\$ (3,128,195)</u>	<u>\$ 72,772,618</u>	<u>\$2,578,996</u>

(a) As restated. See Note IV.

The governmental activities liabilities will be liquidated by the general fund. The business-type liabilities will be liquidated by the enterprise fund reporting the liabilities.

The following represents authorized and unissued debt as of June 30, 2025:

Projects	Amount
Senior center	\$ 8,500,000
Water projects and wells	19,200,000
Sewer projects	29,438,000
	<u>\$ 57,138,000</u>